

Task 1: Selection and Research

Citibank N.A. / Citi Singapore | AML/KYC and Suspicious Transaction Monitoring

Selected regulated entity

I have selected Citibank, N.A. / Citi Singapore as the regulated entity for this assignment. Citibank is a real US-headquartered global bank with long-standing operations in Singapore. Citi Singapore states that Citi was the first American bank to set up a branch in Singapore, beginning in 1902. This makes Citi a suitable entity for a US-Singapore jurisdiction-aware RegTech project.

I am choosing Citi because it is exposed to cross-border banking risks in a realistic way. A bank operating across the United States and Singapore must manage financial crime compliance expectations from both jurisdictions. The same transaction or customer relationship may therefore need to be reviewed differently depending on whether the relevant compliance context is US-facing or Singapore-facing.

Selected domain

The domain I have selected is AML/KYC and suspicious transaction monitoring.

This domain fits the assignment because AML/KYC is a core banking compliance obligation in both the United States and Singapore. It also involves genuine regulatory and operational judgement. A bank must detect suspicious activity, but it must also avoid creating so many low-quality alerts that compliance staff cannot focus on genuinely risky transactions.

This domain is also suitable for my Task 3 choice, Option C: Analytical Design with Quantitative Component. I plan to design a jurisdiction-aware AML alert calibration tool using synthetic transaction data. The tool will compare alert rates, false-positive proxy rates, and manual review workload under US and Singapore configurations.

Different regulatory choices: United States vs Singapore

Both the United States and Singapore regulate money laundering and terrorist financing risks, but they operationalise those concerns differently.

In the United States, the AML framework is closely associated with the Bank Secrecy Act, Suspicious Activity Reports filed through FinCEN, and OFAC sanctions compliance. For my tool design, this means the US configuration should place strong emphasis on sanctions match risk, suspicious activity reporting logic, structuring-like behaviour, USD transactions, and transactions with a US nexus.

In Singapore, the relevant framework includes MAS AML/CFT requirements for banks, including MAS Notice 626, and suspicious transaction reporting to the Suspicious Transaction Reporting Office. For my tool design, this means the Singapore

configuration should place strong emphasis on customer due diligence, beneficial ownership information, ongoing monitoring, cross-border wire transfer information, and whether a transaction should be escalated for STRO-related review.

The important point is not that one jurisdiction is stricter than the other. The important point is that the political and regulatory choices are different. The US framework is especially visible through SAR filing expectations and sanctions enforcement, while the Singapore framework is strongly connected to MAS-supervised AML/CFT controls, customer due diligence, and suspicious transaction reporting through Singapore's FIU structure.

Implication for the proposed tool

The proposed tool will be a Jurisdiction-Aware AML Alert Calibration Tool. It will not use one universal AML score for every situation. Instead, it will have a jurisdiction setting.

In US mode, the tool will give more weight to factors such as sanctions match score, USD transaction involvement, structuring-like transaction patterns, and SAR review triggers. In Singapore mode, it will give more weight to beneficial ownership completeness, customer risk level, unexpected changes in transaction behaviour, incomplete wire transfer information, and STRO review indicators.

This means the same synthetic transaction dataset can produce different alert outputs depending on whether the US or Singapore configuration is active. That difference is the main jurisdiction-aware feature of the project.

References

1. Citi Singapore, "Our Rich History": <https://www1.citibank.com.sg/about-us/120-years-of-citi-in-singapore/our-rich-history>
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4. US Department of the Treasury, OFAC, "A Framework for OFAC Compliance Commitments": <https://ofac.treasury.gov/media/16331/download>
5. Singapore Police Force, "Suspicious Transaction Reporting Office": <https://www.police.gov.sg/Advisories/Commercial-Crimes/Suspicious-Transaction-Reporting-Office>
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